IN THE NATIONAL COMPANY LAW TRIBUNAL,

NEW DELHI BENCH, COURT-III

COMPANY APPLICATION NO. (CAA) - 34(ND)/2025

(Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF AMALGAMATION

BETWEEN

M/s. R SYSTEMS INTERNATIONAL LIMITED

...Applicant Company No. 1/Amalgamated Company

AND

M/s. VELOTIO TECHNOLOGIES PRIVATE LIMITED

...Applicant Company No. 2/Amalgamating Company No. 1

AND

M/s. SCALEWORX TECHNOLOGIES PRIVATE LIMITED

...Applicant Company No. 3/ Amalgamating Company No. 2

AND

THEIR RESPECTIVE CREDITORS AND SHAREHOLDERS

Order Pronounced On: 22.05.2025

CORAM:

SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)

DR. SANJEEV RANJAN, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant :

ORDER

PER: BACHU VENKAT BALARAM DAS, MEMBER (JUDICIAL)

1. This is a 1st Motion Application jointly filed by the Applicant Companies seeking approval of this Tribunal about the Scheme of Amalgamation under Sections 230 and 232 of the Companies Act, 2013 read with the

Companies (Compromise, Arrangements and Amalgamations) Rules, 2016 in respect of above Applicant Companies. It is represented that the registered office address of all the Applicant Companies is situated in New Delhi and therefore the subject matter of the said Application falls within the jurisdiction of this Tribunal. Ld. Counsel has given the brief description of the Applicant Companies, which are as follows:

i. Applicant Company No. 1/ Amalgamated Company namely M/s. R Systems International Limited, bearing CIN: L74899DL1993PLC053579 was incorporated on 14.05.1993 under the provisions of the Companies Act, 1956 as a Company limited by Shares (Non-govt. company) with the Registrar of Companies, NCT of Delhi and Haryana. The registered office address of Applicant Company No. 1 is situated at GF-1-A, 6, Devika Tower, Nehru Place, New Delhi- 110019. The Authorized Share Capital of the Company is Rs. 20,60,00,000/- and the issued, subscribed and paid-up share capital of the Company is Rs. 11,83,76,856/-.

ii. Applicant Company No. 2/ Amalgamating Company No. 1 namely M/s. Velotio Technologies Private Limited, bearing CIN: U72100DL2016PTC434014 was incorporated on 01.05.2016 under the provisions of the Companies Act, 2013 as a Company limited by Shares (Non-govt. company) with the Registrar of Companies, NCT of Delhi and Haryana. The registered office of Applicant Company No. 2 is situated at GF-1-A, 6, Devika Tower, Nehru Place, New Delhi- 110019. The Authorized Share Capital of the Company is Rs. 5,00,000/- and issued, subscribed and paid-up share capital of the Company is Rs. 2,34,663/-.

iii. Applicant Company No. 3/ Amalgamating Company No. 2 namely M/s. Scaleworx Technologies Private Limited, bearing CIN: U72900DL2020PTC434013 was incorporated on 07.11.2020 under the provisions of the Companies Act, 2013 as a Company limited by Shares (Non-govt. company) with the Registrar of Companies, NCT of Delhi and Haryana. The registered office of Applicant Company No. 3 is situated at GF-1-A, 6, Devika Tower, Nehru Place, New Delhi- 110019. The Authorized Share Capital of

the Company is Rs. 5,00,000/- and issued, subscribed and paid-up share capital of the Company is Rs. 1,46,660/-.

2. Affidavits in support of the above Application have been sworn by Mr. Bhaskar Dubey, Authorized Signatory of Applicant Company No.1, Mr. Nand Sardana, Authorized Signatory of Applicant Company No. 2 and Applicant No. 3, who have been duly authorized vide their respective board resolutions; and have been duly filed, along with the Application.

3. The Board of Directors of the Applicant No. 1, the Board of Directors of the Applicant No. 2 as well as the Board of Directors of the Applicant No. 3 in their separate meetings held on 11.09.2024 approved and adopted the Scheme of Amalgamation.

4. The proposed Scheme involves the amalgamation of the Amalgamating Company No. 1 into the Amalgamated Company, and subsequent amalgamation of Amalgamating Company No. 2 into the Amalgamated Company in the manner set out in Scheme. The Amalgamating Company No. 1 is a wholly-owned subsidiary of the Amalgamated Company and the Amalgamating Company No. 2 is the subsidiary of Amalgamating Company No. 1.

5. The details in respect of the equity shareholders, unsecured creditors, preference shareholders and the secured creditors of all the Applicant Companies are as under:

Name of the Companies	**Shareholders along with their consent**			
	Equity Shareholder (A)	**Consent of (A) with calculations**	**Preference Shareholder (B)**	**Consent of (B) with calculations**
Applicant Company No. 1	37,753	NA	NA	NA
Applicant Company No. 2	2	2 (100%) Page 701 Annexure A27 (Colly.)	6	6 (100%) Page 714 Annexure A28 (Colly.)
Applicant Company No. 3	2	2 (100%) Page 752 Annexure A32 (Colly.)	NA	NA

Name of the Companies	Creditors along with their consents					
	Debenture Holders (C)	**Consent of (C) with calculations**	**Secured Creditors (D)**	**Consent of (D) with calculations**	**Unsecured Creditors (E)**	**Consent of (E) with calculations**
Applicant Company No. 1	NA	NA	1	1 (100%) Page 674 Annexure A23 (Colly.)	66	NA
Applicant Company No. 2	NA	NA	NIL	NA	6	NA
Applicant Company No. 3	NA	NA	NIL	NA	NIL	NA

6. The Applicant Companies with respect to Applicant No. 1 propose that they be permitted to hold meetings of Equity Shareholders as well as Unsecured Creditors of Applicant No. 1 for the purpose of considering and approving the proposed Scheme of Amalgamation, with or without modifications. The Applicant Companies further propose that an exemption be granted to hold meetings of Secured Creditors of Applicant No. 1 in view of the consent affidavit given by 1 out of 1 secured creditor, constituting 100% of the outstanding secured debt in value, of the Amalgamated Company, as on March 12, 2025.

7. The Applicant Companies with respect to Applicant No. 2 propose that they be granted to hold meetings of Unsecured Creditors of Applicant No. 2 for the purpose of considering and approving the proposed Scheme of Amalgamation, with or without modifications. The Applicant Companies further propose that an exemption be granted to – hold meetings of the Equity Shareholders in view of the consent affidavits given by 2 shareholders having 100% equity shareholding, in number and value, in the Amalgamating Company No. 1 as on 14.03.2025; hold meeting of shareholders holding optionally convertible redeemable preference shares of the Amalgamating Company No. 1 (hereinafter referred to as "Amalgamating Company 1 OCRPS") in view of the consent affidavits given by 6 shareholders having 100% Amalgamating Company 1 OCRPS shareholding, in number and value, in the Amalgamating Company No. 1, as on 28.02.2025; & to hold meeting of

the Secured Creditors of Applicant No. 2 in view of absence of any Secured Creditor.

8. The Applicant Companies with respect to Applicant No. 3 propose that an exemption be granted from – holding meetings of the Equity Shareholders in view of the consent affidavits given by 2 shareholders having 100% equity shareholding, in number and value, in the Amalgamating Company No. 2, as on 14.03.2025; holding meetings of Secured and Unsecured Creditors in view of absence of any Secured or Unsecured Creditor.

9. With regards to the holding of meetings, it is proposed by the Applicant Companies that wherever a meeting is required, the voting at such meetings to take place through electronic means, including remote e-voting, that can be recorded. The proposal also includes the appointment of a Chairperson, an Alternate Chairperson, and a Scrutinizer for each of the meetings for supervision, ensuring compliance with procedural requirements.

10. Having heard the submissions made by the Ld. Counsel and having perused the records as well as the documents placed on record, we allow the prayer of the Applicant Companies as under:

    a) We allow the prayer for convening and holding meetings of Equity Shareholders and Unsecured Creditors of Applicant No. 1. We further allow the prayer for dispensation from convening and holding the meeting of its Secured Creditors, in view of the consent affidavit filed by the sole Secured Creditor constituting 100% in value of the outstanding secured debt as on 12.03.2025.
    b) We allow the prayer for convening and holding the meeting of Unsecured Creditors of Applicant No. 2. We further allow the prayer for exemption from convening and holding meetings of its Equity Shareholders and the holders of optionally convertible redeemable preference shares (OCRPS), in view of the consent affidavits filed by 2 Equity Shareholders and 6 OCRPS holders, holding 100% in number and value as on 14.03.2025 and 28.02.2025 respectively.

We further allow the prayer for exemption from holding the meeting of its Secured Creditors, in view of there being none.

c) We allow the prayer for dispensation from convening and holding meetings of its Equity Shareholders, Secured Creditors, and Unsecured Creditors, in view of the consent affidavits submitted by the Equity Shareholders holding 100% of the shareholding in number and value as on 14.03.2025, and the absence of any Secured or Unsecured Creditors.

11. The Applicant Companies have filed its Memorandum and Articles of Association inter alia delineating their object clauses as well as the latest audited annual financial reports i.e., financial statements of the Applicant Company No. 1/ Amalgamated Company for the financial year ending 31.12.2024, financial statements of the Applicant Company No. 2/ Amalgamating Company No. 1 for the financial year ending 31.03.2024 and as on 31.12.2024 and financial statements of the Applicant Company No. 3/ Amalgamating Company No. 2 for the financial year ending 31.03.2024 and as on 31.12.2024, accompanied with auditor's reports as required under section 232(2)(e) of the Companies Act, 2013.

12. Taking into consideration the Application on behalf of the Applicant Companies and the documents filed there with, this Tribunal issues the following directions with respect to calling, convening and holding of the meetings of the Equity Shareholders and Unsecured creditors as well as issue of notices including by way of paper publication as follows.

13. The quorum for the meeting of the Equity Shareholders shall be not less than 75% in value as provided in Section 230(6) of the Act. The quorum for the meeting of unsecured creditors will also be 75% (in value) of unsecured creditors.

14. Mr. Sumit Kumar Shukla, having Contact No. +918800652304, having e-mail address as advsumitshukla@gmail.com shall act as the Chairperson and Mr. Sangeeth Mohan K having Contact No. +918587868028 having e-mail address as

advsangeethmohank@gmail.com shall act as the Alternate Chairperson appointed for the said meetings. The fee of the chairperson for the aforesaid meetings shall be Rs. 1,25,000/- and the fee of the alternate chairperson shall be Rs. 1,00,000/- in addition to meeting their incidental expenses.

15. Mr. Ankit Monga having Contact No. +919354202889 having e-mail address as advankitmonga@gmail.com is appointed as a Scrutinizer, who shall ensure that the registers are properly maintained and would be entitled to fee of Rs. 75,000/- for services in addition to meeting incidental expenses. The Chairpersons will file their reports within 2 weeks from the date of holding of the above said meetings.

16. In case the quorum as noted above for the above meeting of the Applicant Companies is not present at the meetings, then the meetings shall be adjourned by half an hour, and thereafter the persons present and voting shall be deemed to constitute the quorum. The Chairperson and Alternate Chairperson appointed herein along with Scrutinizer shall ensure that the proxy registers are properly maintained. However, every endeavour should be made by the Applicant Companies to attain at least the quorum fixed, if not more, in relation to the approval of the scheme. The Applicant Companies shall be at liberty to determine the venue, for convening and holding the respective meetings, subject to compliance with applicable provisions of the Companies Act, 2013 and the Rules framed thereunder.

17. Individual notices of the above said meetings shall be sent by the Applicant Companies through e-mail and through speed post, 30 days in advance before the scheduled date of the meeting, indicating the day, date, the place and the time as aforesaid, together with a copy of Scheme of Amalgamation, copy of explanatory statement, required to be sent under the Companies Act, 2013 and the prescribed form of proxy shall also be sent along and in addition to the above, any other documents as may be prescribed under the Act or rules may also be duly sent with the notice.

18. The Applicant Companies shall publish advertisement with a gap of at least 30 clear days before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be published in the "Business Standard" English Delhi NCR Edition and "Business Standard" Hindi Delhi NCR Edition stating the copies of Scheme of Amalgamation, the Explanatory Statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the registered office of the Applicant Companies.

19. Voting shall be allowed on the proposed Scheme by voting in person or through proxy as per the guidelines issued by Ministry of Corporate Affairs.

20. Notice of this Application shall be served on the following:

i. Regional Director, Ministry of Corporate Affairs, B-2 Wing, 2 Floor, Paryawaran Bhavan, CGO Complex, New Delhi-110003;

ii. Registrar of Companies at 4th floor, IFCI Tower, 61, Nehru Place, New Delhi-110019;

iii. Official liquidator, Lok Nayak Bhavan, 8th Floor, Khan Market, New Delhi110001;

iv. Income Tax Department, Income Tax Office, Additional Commissioner of Income Tax, Special Range 4, Central Revenue Building, IP Estate, New Delhi-110002. The notices to Income Tax Authorities shall disclose sufficient details like PAN, ward numbers and assessing officers so that timely and proper reply may be filed.

v. Any other Sectoral Regulators/Authority required to be served who may have significant bearing on the operations of the Applicant Companies or the Scheme per se along with copy of required documents and disclosures required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

21. The Applicant Companies shall further furnish a copy of the Scheme free of charge within 1 day of any requisition for the Scheme made by

every creditor or member of the company entitled to attend the meetings as aforesaid.

22. The authorized representative of the Applicant Companies shall furnish an affidavit of service of notice of meetings and publication of advertisement and compliance of all directions contained herein at least a week before the proposed meetings.

23. All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicant Companies.

24. The prayer sought in the present Application bearing CA(CAA)-34/(ND)/2025 stands **allowed** on the aforesaid term and accordingly **disposed of**.

The Registry is directed to serve the order to all the parties, the Chairperson, Alternate Chairperson and the Scrutiniser.

Sd/-

(DR. SANJEEV RANJAN)
MEMBER (TECHNICAL)

Sd/-

(BACHU VENKAT BALARAM DAS)
MEMBER (JUDICIAL)